Grade 12 Business Studies

Paper 1

Business Environments and Business Operations
150 marks · 2 hours · Randomized subject seed 20261101
Answer Section A, any TWO questions in Section B, and any ONE question in Section C.

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Instructions

1. Write your name and class on every answer sheet.
2. Answer all of Section A.
3. In Section B, answer any TWO questions. Each question is 40 marks; only the first two answers will be marked.
4. In Section C, answer any ONE essay question.
5. Number answers exactly as in the paper. Show calculations where relevant.

Contents: Section A 30 marks; Section B 80 marks counted; Section C 40 marks. Total 150.

SECTION A · COMPULSORY (30 marks)

Choose the best answer. Each item is worth 2 marks.

1. Which environment is most directly shaped by a new municipal by-law?
    A. Market
    B. Macro
    C. Micro
    D. Internal
2. A business's internal strength is best described as:
    A. a controllable capability
    B. a new tax
    C. a competitor action
    D. a customer trend
3. Which action is a corrective control?

A. Set a standard
B. Measure output
C. Compare result with standard
D. Fix a recorded variance

4. A supplier’s reliability is primarily relevant to:
    A. procurement
    B. branding
    C. ownership
    D. market segmentation
5. The purpose of induction is to:
    A. orient a new employee
    B. audit annual accounts
    C. forecast sales
    D. register a trademark
6. A stakeholder consultation should happen:
    A. after all decisions are irreversible
    B. early enough to inform the decision
    C. only if no law applies
    D. only with customers
7. The Consumer Protection Act chiefly strengthens:
    A. consumer rights
    B. supplier ownership
    C. company tax status
    D. staff seniority
8. A quality standard should be:
    A. observable and measurable
    B. secret
    C. changed each shift
    D. based only on opinion
9. A co-operative is generally owned by:
    A. its members
    B. one external lender
    C. the municipality
    D. its largest customer
10. Break-even occurs when:
    A. total revenue equals total cost
    B. profit is at its maximum
    C. fixed cost is zero
    D. sales are zero
11. A business plan should include:
    A. market and operating assumptions
    B. only a logo

C. only a loan request
D. unverified testimonials

12.Using a rival’s photos without permission may breach:
A. intellectual-property rights
B. stock rotation
C. job evaluation
D. cash budgeting

13.Market research is used to:
A. inform decisions about customers
B. guarantee success
C. remove all uncertainty
D. replace accounting records

14.A conflict of interest arises when:
A. private interests may bias a duty
B. a budget is approved
C. a target is met
D. a customer returns a product

15.A sustainability decision considers:
A. economic, social and environmental effects
B. sales only
C. publicity only
D. short-term cost only

SECTION B · ANSWER ANY TWO (80 marks counted)

Each question is worth 40 marks. Use relevant business terminology and apply your answers to the information provided.

Question 1: Case study — Khula Kitchens (40 marks)

Read the case study and answer all parts.
Khula Kitchens is a Gauteng food producer with 42 employees. A new municipal by-law requires grease traps and monthly inspections. The firm has received two written complaints about late orders. It plans to introduce a digital ordering system, train supervisors in quality control and renegotiate a supplier contract. Staff representatives have asked for a formal consultation before shift patterns change. Khula is also considering a second production line, but cash flow is tight.

1.1 Identify the relevant business environment for the municipal by-law and for the late-order problem. (4) [4]

1.2 Explain two ways the by-law can affect Khula’s operations. (8) [8]

1.3 Recommend and motivate two practical responses to the late-order complaints. (8) [8]

1.4 Discuss the value of consultation before changing shift patterns. (8) [8]

1.5 Advise whether Khula should add the second production line now. Use the case and two feasibility considerations. (12) [12]

Question 2: Applied business environments (40 marks)

2.1 Distinguish a threat from an opportunity in a SWOT analysis. (4) [4]

2.2 Explain how a business can use Porter's Five Forces to assess a proposed market. (8) [8]

2.3 Discuss four ways legislation can influence a business's human-resource practices. (8) [8]

2.4 A local retailer faces a new online competitor and rising transport costs. Analyse one response to each pressure. (10) [10]

2.5 Evaluate the usefulness and limits of a PESTLE analysis when making a strategic decision. (10) [10]

Question 3: Applied business operations (40 marks)

3.1 State four stages in a basic quality-management cycle. (4) [4]

3.2 Explain how induction and skills development can improve employee performance. (8) [8]

3.3 Discuss four considerations when selecting a supplier. (8) [8]

3.4 A bakery's output varies between shifts. Propose a control plan using measurable standards and corrective action. (10) [10]

3.5 Recommend how a small business can balance productivity, employee wellbeing and customer service. (10) [10]

SECTION C · ANSWER ANY ONE (40 marks)

Write a structured essay with an introduction, developed discussion, application or examples, and conclusion. Each essay is assessed against the same rubric: introduction and framing (4); accurate knowledge and explanation (12); analysis and application to the stated topic (12); evaluation, justified recommendation or synthesis (8); coherent conclusion and structure (4).

Essay option 1 · Business Environments (40 marks)

Analyse and evaluate how a South African business can respond effectively to current challenges in

business environments. Develop a balanced argument, use relevant examples and finish with a justified conclusion.

Essay option 2 · Business Operations (40 marks)

Discuss and recommend how a South African business can respond effectively to current challenges in business operations. Develop a balanced argument, use relevant examples and finish with a justified conclusion.

End of Paper 1. Check that you have answered the required number of questions.